to build up. If this seems much like the concentrations of power that surrounded the previous dictatorship, it is because of natural parallels: the dictator was also an unpopular occupier who ruled largely by distributing privileges to a supportive few. Under these conditions of concentrated power, it is hard for either democracy or markets to take root.

All this is not idle theorizing. Studies show that colonies like the United States, Canada, and Australia, where Europeans (typically the British) settled in large numbers, often displacing or driving out native populations, developed many of the institutions necessary for a market democracy. Government was relatively benign, and even democratic, in large part because it did not have to keep a native population under control. By contrast, in colonies like India where there was too large a population to be displaced, or where disease prevented large-scale European migration, a small body of Europeans had to keep a large native population under check. Typically, this was done by co-opting the domestic elites, such as the native rajas and big landlords, and supporting their power so long as they repaid the compliment. Under these circumstances, democratic and market institutions did not emerge. Studies show that regions in India where these arrangements were particularly predominant have, even today, underdeveloped social and market infrastructure.

In sum, the end of the Cold War gives the United States both the power and the interest to spread democracy and capitalism by force. But history suggests that democracy and free markets are hard to impose, no matter how beneficial they are. Rarely did an occupying outside power, unconnected by the bonds of ethnicity, culture, and national origin with the ruled citizenry, leave behind the conditions that would foster both democracy and markets. Even in the 21st century, capitalism does not rhyme with colonialism!